

Outlook

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Origination month may explain more than current arrears

Morning,

I need help with something that sounds simple but probably is not.

Portfolio risk is being discussed as a single book, although origination periods experienced different rates, channels and customer conditions. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population.

The questions I would ask in the room are:

1. What would we expect to see if operational debit failures contaminate credit outcomes?
2. What evidence would instead support that recent vintages deteriorate faster?
3. How do we rule out that product mix creates the apparent vintage effect?

We looked at a version of this before. For the March 2020 review, please show what changed and whether the earlier conclusion still holds. Please work towards which vintage needs deeper review and whether policy or operations owns the next action. A useful output would be a model-ready table, data dictionary and an honest baseline.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; debit-order mandates, collection dates, suspensions and cancellations; transaction-level timestamps, channels, amounts, statuses and error context; time-appropriate news and macro-event context. One caution: Macro events provide context, not a causal estimate by themselves.

Regards